



The Morning Brief

JUNE 5, 2026

Payrolls Day

Dow and Russell led a broad rotation Thursday as AVGO weighed on the Nasdaq; today's May Employment Situation is the last release before the FOMC blackout.

S&P 500	DOW PROXY	NASDAQ PROXY	WTI (USO)	FEAR & GREED
\$757.09 ↑0.38%	\$516.70 ↑1.66%	\$740.61 ↓0.48%	\$136.74 ↓2.92%	12 · Extreme Fear

SECTION 01

Markets

ROTATION BROADENED DECISIVELY THURSDAY WITH THE DOW PROXY ↑1.66% AND THE RUSSELL 2000 PROXY ↑1.51% LEADING THE TAPE WHILE THE NASDAQ PROXY ↓0.48% LAGGED ON AVGO'S POST-PRINT DECLINE OF APPROXIMATELY 15% INTRADAY PER CNBC AND TICKERON COVERAGE — HEALTHCARE (XLV ↑3.07%) LED EIGHT GREEN SECTORS VERSUS TECH (XLK ↓1.56%) CARRYING THE LONE MATERIAL DRAG

Per the data drop, Thursday closed with the S&P 500 proxy ↑0.38% to \$757.09 (intraday high \$758.31, low \$751.47), the Dow proxy ↑1.66% to \$516.70, the Nasdaq proxy ↓0.48% to \$740.61, and the Russell 2000 proxy ↑1.51% to \$292.01 — a meaningful mega-cap-versus-broad-market split. The UVXY VIX proxy ↓4.95% to \$27.64 priced material relief into the Friday catalyst window. Sector participation expanded to eight of eleven green: Healthcare (XLV ↑3.07%) led, followed by Financials (XLF ↑2.59%), Real Estate (XLRE ↑2.05%), Industrials (XLI ↑1.21%), Communication Services (XLC ↑0.92%), Utilities (XLU ↑0.53%), Consumer Discretionary (XLY ↑0.45%), and Energy (XLE ↑0.07%); Materials (XLB ↓0.02%) and Staples (XLP ↓0.15%) finished essentially flat, while Tech (XLK ↓1.56%) carried the sole material drag. Within IOWN, the dividend sleeve carried the green tally: ABT ↑4.36% to \$90.78, PCAR ↑3.22% to \$118.06, SYK ↑2.11%, SSNC ↑2.10%, ADP ↑1.56%, CAT ↑1.54% to \$940.48, FAST ↑1.51%, LMT ↑1.37%, GD ↑1.32%, and DGX ↑1.26%. HOOD ↑6.61% to \$88.33 was the top growth-sleeve mover on the SpaceX IPO retail access announcement per Yahoo and CNBC, and MRVL ↑4.90% to \$316.43 continued its post-print recovery. The drag concentrated in semis and at-multiple AI exposure: AMD ↓3.56% to \$523.20, QCOM ↓2.98%, LRCX ↓2.12%, KEYS ↓2.10%, and ADI ↓2.04%. CTRA ↓8.62% to \$32.56 extended a second-session decline that warrants company-specific diligence.

BROADCOM TRADED APPROXIMATELY ↓15% INTRADAY THURSDAY PER CNBC AND TICKERON COVERAGE ON A Q3 AI GUIDE OF \$16B VERSUS A \$17.2B CONSENSUS PER YAHOO REPORTING AND MANAGEMENT'S DECISION NOT TO RAISE THE FY26 AI TARGET — THE REACTION PATTERN MIRRORS CRDO MONDAY AND ESTABLISHES FORWARD GUIDANCE CADENCE AS THE BINDING CONSTRAINT ON PREMIUM-MULTIPLE NAMES ACROSS SUPPLIER-SIDE AI

Per CNBC, Yahoo Finance, and Tickeron coverage, Broadcom's cash-session reaction extended the after-hours decline

materially, with shares trading near \$405 intraday against a \$479 prior close. Per the company release and Investing.com transcript, fiscal Q2 EPS of \$2.44 against \$2.39 consensus and revenue of \$22.19B against \$22.13B consensus both beat, with AI semi revenue ↑143% YoY at \$10.8B. The Q3 AI revenue guide of approximately \$16B (↑200% YoY per the company) sat below the \$17.2B sell-side bar per Yahoo coverage, and management's decision not to raise the \$100B FY AI target per ChartMill removed the upside-revision

catalyst bulls had positioned for. The pattern mirrors CRDO Monday: in-line forward guidance against an elevated multiple has produced an outsized downside reaction in two consecutive supplier-side AI prints this week. For IOWN, NVDA ↑1.82% to \$218.66, MRVL ↑4.90% to \$316.43, TSM ↑1.88% to \$444.92, and CRDO ↑1.35% to \$217.50 (recovering from the Monday post-print weakness) all extended the supplier-side demand thesis while the semi-equipment and connectivity ancillaries (AMD, LRCX, QCOM, ADI, KEYS) consolidated. The read-through is that supplier-side AI demand remains structurally strong while at-multiple valuation has fully re-engaged on the forward-guide cadence rather than the trailing print.

OIL REVERSED THURSDAY WITH USO ↓2.92% TO \$136.74 AND BNO ↓2.71% TO \$52.48 PER THE DATA DROP AFTER REUTERS REPORTED OMAN'S MINA AL FAHAL TERMINAL OPERATIONS PROCEEDING NORMALLY AND TRUMP STATED HE DID NOT NEED A DEAL WITH IRAN TO GET ENRICHED URANIUM — THE REVERSAL COMPRESSED THE WAR PREMIUM EMBEDDED FROM WEDNESDAY'S IRAN STRIKES AGAINST KUWAIT AND BAHRAIN

Per Reuters reporting Thursday, Oman's Mina al Fahal terminal confirmed operations proceeding normally after the prior session's reported disruption headlines, removing a key Hormuz-adjacent supply-anxiety catalyst. Per Reuters separately, President Trump stated Thursday he does not need a deal with Iran to obtain enriched uranium — the comment partially priced as a hardening US negotiating stance rather

than a near-term escalation, against a fragile bilateral framework that has now entered a third month without concrete progress per RFE/RL coverage. The IOWN energy sleeve was mixed against the reversal: CVX ↓0.72% to \$188.35, VLO ↓0.99% to \$258.85, CNX ↑1.37%, OKE ↑2.54% to \$88.95 — the midstream and pipeline names held while the integrators and refiners gave back. Natural gas diverged with UNG ↑3.50% to \$12.12, reflecting the EU energy-cost story Reuters reported Thursday on the Commission's estimate that 1.3 million European jobs could be lost on sustained energy-price pass-through linked to the Iran conflict. Gold (GLD ↑0.83% to \$411.27) and Silver (SLV ↑1.16%) both held bid against the dollar despite the oil compression, consistent with the rate-path uncertainty into today's payrolls print rather than a clean risk-off rotation.

DOW PROXY	\$516.70 · ↑1.66% leadership
RUSSELL 2K PROXY	\$292.01 · ↑1.51% breadth signal
NASDAQ PROXY	\$740.61 · ↓0.48% on AVGO drag
UVXY (VIX PROXY)	\$27.64 · ↓4.95% pre-NFP relief
HEALTHCARE (XLV)	↑3.07% · ABT ↑4.36% to \$90.78
TECH (XLK)	↓1.56% · AVGO weighed per CNBC
WTI (USO)	\$136.74 · ↓2.92% on Oman headline
CARSON'S ACTIVE LEVEL	SPY \$645.80 support · Untouched (Thu low \$751.47)

A session with eight green sectors, the Dow proxy and Russell 2000 proxy both up north of 1.5%, the Nasdaq proxy as the lone material drag, and a UVXY decline approaching 5% into today's payrolls print reflects a tape where the rotation thesis is expressing structurally even as headline-level sentiment held at single-digit Extreme Fear. Think Like an Owner.

Geopolitics

US-IRAN NEGOTIATIONS STALLED THURSDAY PER REUTERS AS THE TALKS FRAMEWORK ENTERED A THIRD MONTH WITHOUT CONCRETE PROGRESS PER RFE/RL COVERAGE — TRUMP STATED HE DID NOT NEED A DEAL WITH IRAN TO GET ENRICHED URANIUM PER REUTERS, WHILE THE IAEA PRESSED TEHRAN TO ENGAGE CONSTRUCTIVELY ON NUCLEAR MATERIAL PER A CONFIDENTIAL REPORT CITED BY REUTERS AND AFP

Per Reuters coverage Thursday, the US-Iran negotiation framework that has anchored the past month's talks remains stalled with no apparent off-ramp at this writing — per RFE/RL coverage, the fragile cease-fire architecture has now entered a third month without concrete progress. Trump's statement Thursday that he did not need a deal with Iran to obtain enriched uranium per Reuters reads at face value as a hardening US negotiating posture rather than a near-term escalation signal, but the asymmetry between official US and Iranian readouts that defined this week has not narrowed. Per a confidential IAEA report cited by Reuters and AFP June 4, the agency formally pressed Tehran to engage constructively on outstanding questions regarding the country's nuclear material — the institutional escalation step that historically tends to precede broader diplomatic or sanctions activity. The European Commission separately estimated per Reuters Thursday that the European Union could lose approximately 1.3 million jobs on sustained energy-price pass-through linked to the conflict, framing the structural cost of a prolonged-disruption scenario. For IOWN energy exposure, the Thursday oil reversal (USO ↓2.92%, BNO ↓2.71%) compressed the war premium that built into Wednesday's Kuwait and Bahrain strikes; CVX ↓0.72% and VLO ↓0.99% gave back some of the prior session's gains, while OKE ↑2.54% and CNX ↑1.37% diverged on midstream and natural-gas exposure.

THE ISRAEL-LEBANON CEASEFIRE IMPLEMENTATION FRAMEWORK ANNOUNCED TUESDAY PER THE US STATE DEPARTMENT REMAINS THE CONSTRUCTIVE COUNTERWEIGHT TO THE STALLED IRAN TRACK PER RFE/RL — THE POLITICAL AND SECURITY TRACKS ARE SCHEDULED TO RECONVENE THE WEEK OF JUNE 22 WITH A VIEW TOWARD A COMPREHENSIVE AGREEMENT, WHILE THE EU'S 1.3 MILLION JOBS ESTIMATE PER REUTERS FRAMES THE STRUCTURAL STAKES

Per RFE/RL reporting Thursday, the Israel-Lebanon ceasefire implementation framework announced earlier in the week remains the constructive diplomatic counterweight to the otherwise deteriorating Iran track, with the political and security tracks scheduled to reconvene the week of June 22 with a view toward a comprehensive agreement. The framework remains fragile per the same coverage — the underlying ceasefire has seen repeated violations across prior weeks — but the formal implementation step continues to hold against the broader regional escalation. Per Reuters Thursday, the European Commission's estimate that 1.3 million European jobs could be lost on sustained energy-price pass-through linked to the conflict frames the structural stakes of a prolonged-disruption scenario; the same dynamic underpins

the OECD's June 2026 Outlook flagged earlier in the week. For IOWN defense exposure, LMT ↑1.37% to \$519.05 and GD ↑1.32% to \$341.50 both participated in Thursday's broad-rotation tape after consolidating across the prior two sessions — the structural backlog story remains intact regardless of the near-term diplomatic cadence, and the sleeve is positioned to capture either a sustained-disruption scenario or a normalizing scenario equally well underneath the durable cash flows.

US-IRAN TALKS	Stalled into 3rd month per Reuters/RFE/RL
TRUMP STATEMENT	No deal needed for enriched uranium per Reuters
IAEA PUSH	Press Tehran to engage per Reuters/AFP report
EU JOBS RISK	~1.3M at risk on energy per EC via Reuters
ISRAEL-LEBANON	Ceasefire holds; tracks reconvene week of June 22
OMAN TERMINAL	Mina al Fahal normal operations per Reuters
LMT · GD (THU)	↑1.37% · ↑1.32% on rotation

On Our Radar

1. May Employment Situation prints at 7:30 AM CT per the BLS release schedule with consensus 85K nonfarm payrolls against a 115K April prior per the data drop, an unemployment rate of 4.3% (unchanged from the April prior), Average Hourly Earnings ↑0.3% MoM (versus 0.2% prior), and AHE ↑3.4% YoY (versus 3.6% prior) — the sell-side dispersion across published forecasts is meaningfully wider than usual, with Dow Jones survey at 80K, Goldman Sachs at 60K, and Vanguard at 20K per CNBC and Kiplinger coverage. This is the last meaningful release before the FOMC blackout begins Saturday June 6 ahead of the June 16–17 meeting. Per CME FedWatch coverage cited by multiple outlets, the June meeting is currently priced near a 99% hold probability, with the September meeting carrying the more meaningful odds for the first cut. The split between Tuesday's JOLTS at 7.6M (a near two-year high), Wednesday's ADP at 122K, the ISM Services Employment sub-index at 47.9 (third consecutive month of contraction), and today's payrolls print frames whether the “hot growth, cooling labor” sequence resolves toward growth (consensus-or-better headline) or toward the services-side labor crack (sub-consensus, AHE deceleration). The committee's dividend backbone (ABT ↑4.36% Thursday to \$90.78, SYK ↑2.11%, ADP ↑1.56%, FAST ↑1.51%, CAT ↑1.54%) is positioned to compound through whichever way the print resolves. *Avoid Erosion.*

2. Broadcom's cash-session decline of approximately 15% Thursday per CNBC and Tickeron coverage, against a Q2 print that beat on both EPS (\$2.44 vs \$2.39) and revenue (\$22.19B vs \$22.13B) per the company release and Yahoo coverage, was driven by a Q3 AI guide of approximately \$16B that sat below the \$17.2B sell-side bar per Yahoo and management's decision not to raise the \$100B FY26 AI target per ChartMill. The pattern is now established across two consecutive supplier-side AI prints this week alongside CRDO Monday: in-line forward guidance against an elevated multiple has produced an outsized downside reaction. For IOWN, the supplier-side demand thesis remains intact — NVDA ↑1.82% to \$218.66, MRVL ↑4.90% to \$316.43 (extending the recovery from the post-print breakout), TSM ↑1.88% to \$444.92, and CRDO ↑1.35% to \$217.50 all carried through Thursday's tape. The ancillaries consolidated: AMD ↓3.56% to \$523.20, QCOM ↓2.98%, LRCX ↓2.12%, KEYS ↓2.10%, and ADI ↓2.04%. The committee's connectivity and accelerator exposure sits constructively against the durable demand picture while forward-guide cadence has demonstrably become the binding constraint on at-multiple reactions across the supplier base. *Research Reveals Opportunities.*

3. HOOD ↑6.61% Thursday to \$88.33 was the top IOWN mover per the data drop on the SpaceX IPO retail-access announcement per CNBC, Yahoo, and Motley Fool coverage — SpaceX is expected to begin trading on the Nasdaq around June 12 at an indicated \$135 IPO price per CNBC, and Robinhood's inclusion alongside Fidelity and Schwab in the distribution syndicate represents a notable structural step in Robinhood's evolution from secondary-market trading front end toward primary-issuance participant. Per Simply Wall St coverage, the SpaceX allocation positions Robinhood's IPO Access feature against a significant retail-allocated US issuance, with allocation likely small relative to demand per Motley Fool reporting. For IOWN, the move sits in the growth sleeve's broader fintech-platform thesis alongside COIN (↑0.56% to \$164.13) and SYF (↑3.00% to \$70.78); the structural durability of the platform's monetization expansion may sit constructively against rising regulatory and competitive pressure, but the move warrants monitoring rather than incremental commitment at the post-rally print. *Think Like an Owner.*

4. The Iran framework deteriorated structurally Thursday with US-Iran talks stalled into a third month per Reuters and RFE/RL while oil compressed (USO ↓2.92%, BNO ↓2.71%) on the Oman Mina al Fahal terminal normalization per Reuters — the war premium pricing has compressed materially from the Wednesday peak, but the structural cost picture remains anchored by the European Commission's 1.3 million jobs estimate per Reuters and the OECD's prolonged-disruption scenario flagged earlier in the week. The IOWN energy sleeve was mixed Thursday: CVX ↓0.72% and VLO ↓0.99% gave back some of Wednesday's strike-premium gains, while OKE ↑2.54% to \$88.95 and CNX ↑1.37% diverged on midstream and natural-gas exposure (UNG ↑3.50% to \$12.12). CTRA ↓8.62% to \$32.56 extended a second consecutive session of company-specific weakness and warrants continued diligence. Defense (LMT ↑1.37%, GD ↑1.32%) participated in the broad-rotation tape after consolidating across the prior two sessions; the structural backlog story remains intact across either path. **The physical world matters.**

5. IBIT closed ↓2.65% to \$36.02 and ETHA ↓1.40% to \$13.39 per the data drop, both at fresh near-term lows, as the multi-day US spot Bitcoin ETF outflow streak that began in mid-May continued per CoinGlass and Bittrue coverage. Per Bittrue and Bitcoin Foundation tracking, the cumulative outflow has reached the multi-billion range since the streak began, and prior-brief coverage of the Benzinga reporting on the \$500M ETF outflow during the implosion to \$67,000 continues to frame the institutional re-pricing context. The crypto-adjacent

equity sleeve was mixed Thursday with COIN ↑0.56% to \$164.13 holding above Wednesday's low, MARA ↓0.57%, HUT ↓2.69% to \$127.76, and HOOD ↑6.61% diverging on the SpaceX news. The Fear & Greed reading held at 12 (Extreme Fear) per the data drop — unchanged from Wednesday — sustaining the sentiment-versus-price divergence at single-digit territory. The committee's IBIT and ETHA exposure sits against a slower institutional accumulation cadence rather than a thesis-breaking move, but the persistence of the outflow streak warrants monitoring against the FOMC and macro window. *Simplicity Over Complexity.*

6. Carson's active SPY \$645.80 support remains untouched as Thursday's SPY proxy intraday low printed \$751.47 per the data drop — the level remains the committee's framework for a sustained retracement scenario rather than an actionable near-term marker. The framework was set April 13 with the prior session at \$687.66 intraday low; the trajectory has subsequently extended well above the level as the breakout through Carson's major resistance zone at \$691.90–\$693.20 (\$694.58 intraday high April 14) opened the path toward all-time highs per the levels framework. The Fear & Greed reading at 12 (Extreme Fear) per the data drop against a tape that has broadened from two-of-eleven Monday to eight-of-eleven Thursday and a UVXY decline approaching 5% Thursday continues the price-versus-sentiment divergence at single-digit magnitude. Historically, when breadth broadens while headline sentiment remains compressed at extreme territory, the resolution tends to be either a sharp catalyst-driven release of the sentiment compression or a continued sleeve-rotation dynamic depending on whether the binding macro release (today's payrolls) confirms or breaks the prevailing growth sequence. *Research Reveals Opportunities.*